# Q2 2026

## Shipping Market Outlook

**Executive Summary**

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# Introduction

Global shipping markets enter Q2 2026 navigating an escalating conflict in the Middle East. Following US and Israeli strikes on Iran, the disruption to Strait of Hormuz transit since late February removed c.20–25% of global seaborne crude and oil product trade from the market, sending energy prices and Tanker rates into unprecedented territory.

A two-week US-Iran ceasefire announced in early April is now on the verge of collapse, adding a significant new layer of risk for market participants. Reports that the US military will block any vessel attempting to exit the Strait have further deepened uncertainty. The situation remains highly unstable, and with the threat of a full breakdown in negotiations, owner-operators are proceeding with considerable caution.

The disruption continues to reshape conditions across all sectors. Tanker earnings have surged to historic highs for vessels positioned outside the Gulf, while LPG markets have lost roughly 30% of global supply through the Strait. Bulker markets have shown resilience supported by long-haul commodity demand, though elevated energy prices pose a growing economic risk. Container markets remain supported near-term by persistent Red Sea diversions, even as accelerating fleet growth and tariff headwinds weigh on the longer-term outlook.

Across all sectors, outcomes in 2026 will be shaped by the duration of the Middle East conflict, the pace of oil supply recovery, and how markets adapt to fundamentally altered trade routes. How these dynamics unfold will have direct consequences for utilization, earnings, and asset values across the fleet.


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# Tankers

## Market Conditions

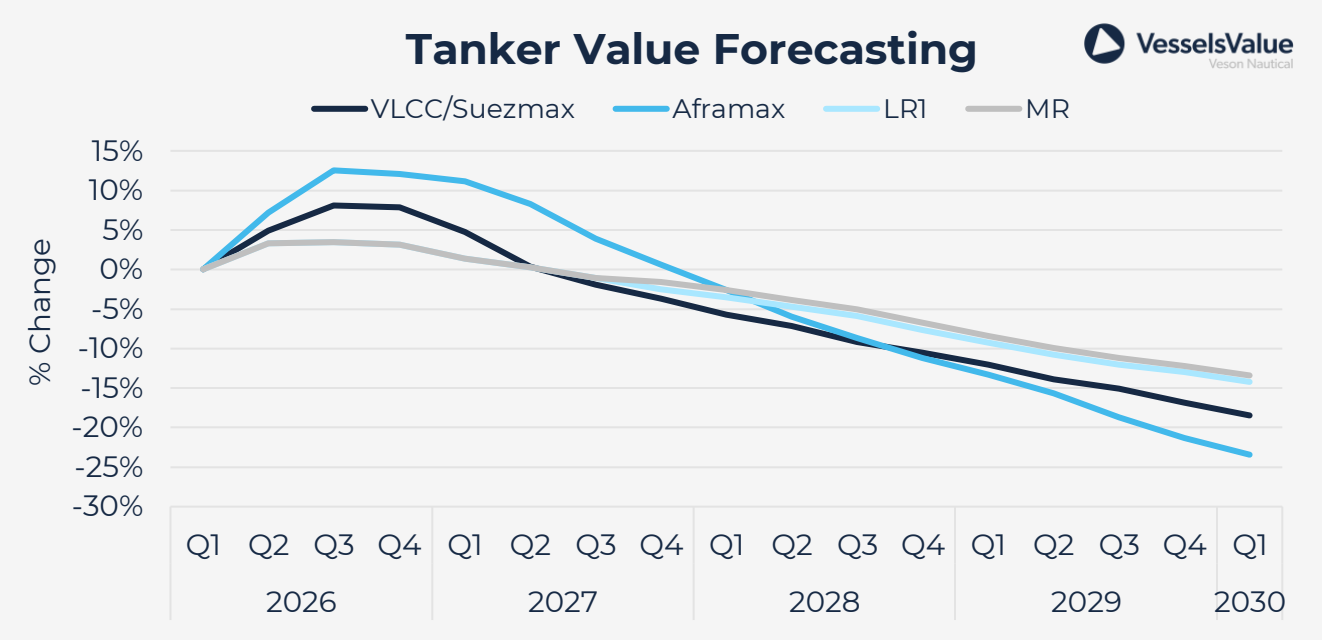
Q1 2026 delivered record average VLCC earnings of approximately USD 175,000/day, driven by Sinokor's market dominance and the escalating conflict in the Middle East. MR Product Tankers averaged around USD 36,000/day, with the Atlantic market strongly outperforming the Pacific, which was weighed down by China's decision to suspend oil product exports in March. While quarterly averages reached historic highs, the quality of reported earnings has been subject to scrutiny, as serious shipowners have been unwilling to route vessels and crews through an active conflict zone.

## Supply, Fleet, & Trade Dynamics

Ordering activity surged in Q1 2026, recording 33.3 million DWT of new Tanker orders. This was five times the volume placed in Q1 2025, with crude segments accounting for 90% of activity. The current orderbook represents 20% of the total fleet, and deliveries are expected to double in 2026 following a low point in 2024. Effective fleet growth in 2026 is projected to be negative given the impact of the conflict, but from 2027 onward supply growth is expected to outpace demand through the end of the forecast period.

## Market Outlook

The base case assumes Middle East oil flows begin recovering as summer approaches. Some increase in shipments from the Atlantic Basin toward Asia is projected, providing support to Tanker markets, though these flows will not replace lost Middle East volumes. In the longer term, demand growth centered east of Suez and continued production growth west of Suez and the MEG will require greater Tanker capacity. A prolonged conflict represents a material downside risk, as a sustained 20–25% reduction in global seaborne oil trade would weigh on fleet utilization, even for vessels positioned outside the affected region.



# Bulkers

## Market Conditions

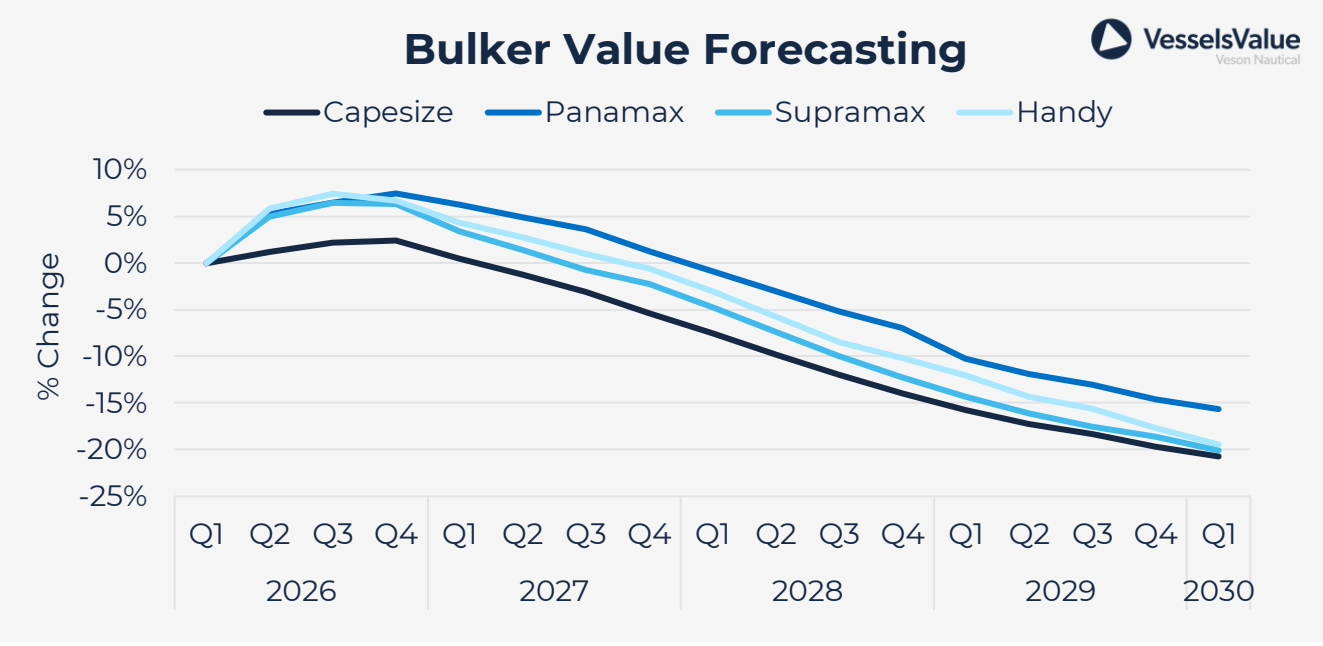
The Bulker market delivered a strong Q1 2026, defying its typical seasonal softness. Capesize vessels averaged approximately USD 23,000/day, some 75% above Q1 2025. Panamaxes averaged USD 15,000/day, up 58% year-on-year, while Supramaxes and Handysizes averaged USD 14,500/day and USD 12,500/day respectively. Chinese exports surged 21.8% year-on-year in January and February, supporting import demand across iron ore, coal, and bauxite. Improved sentiment translated into secondhand values across all segments, with Supramaxes recovering sharply, up 12.6% over the quarter.

## Supply, Fleet, and Trade Dynamics

Roughly 3% of Bulker trade transits the Strait of Hormuz, with 1.4% of the global fleet currently trapped inside. Structural demand shifts, however, offer more durable support. Chinese bauxite imports grew 15% in 2025 to nearly 200 million tons, with the majority being sourced from Guinea. Meanwhile, Guinea's Simandou iron ore mine is introducing longer trade routes for iron ore to China, boosting ton-mile demand. Supply growth is forecast at 3.3% per year, with Handysize, Supramax and Panamax deliveries skewed to the near term, while most Capesize deliveries are due in 2027 and 2028.

## Market Outlook

Demand growth of c.2.7% per year over 2026–2029 is expected to be outpaced by supply growth of 3.3% per year, placing progressive downward pressure on freight rates toward the back end of the outlook period. Near-term conditions remain constructive, supported by Hormuz-related tightness, continued Red Sea rerouting, and long-haul commodity demand. The ongoing conflict introduces considerable uncertainty, with the potential to both support and undermine freight markets depending on duration.



# Containers

## Market Conditions

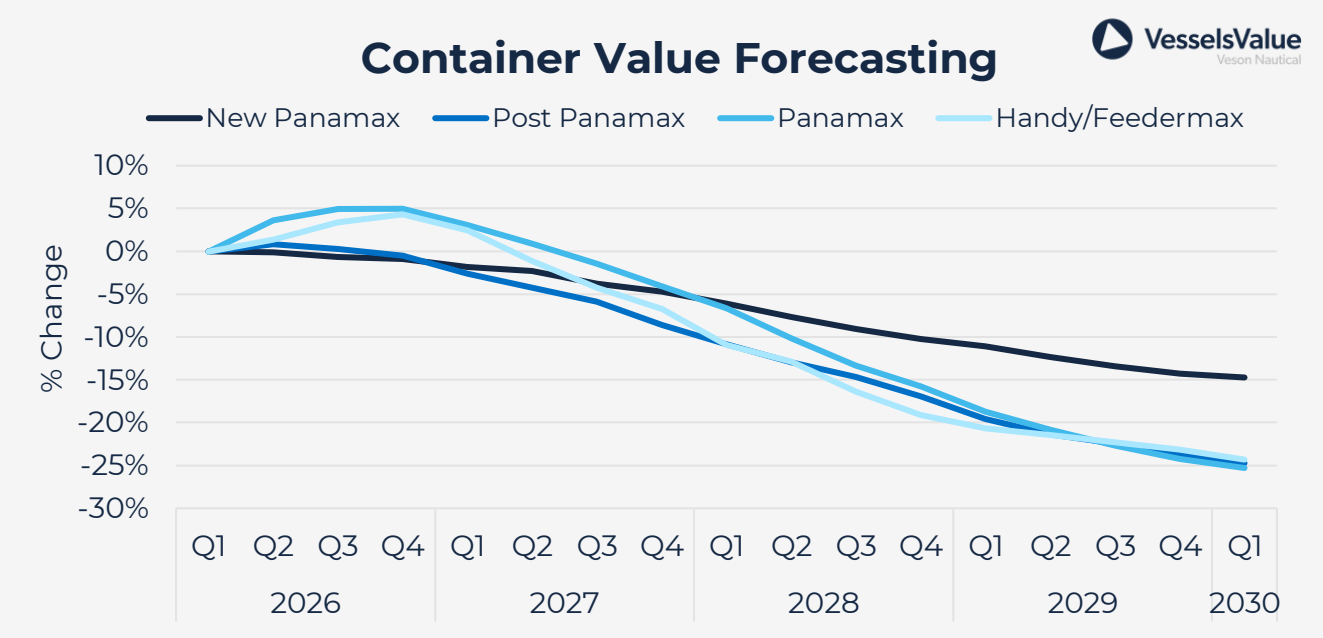
Container earnings were broadly stable through Q1 2026, averaging a 0.5% increase across all vessel sizes versus Q4 2025. The Hormuz closure has directly affected c.1–2% of total Container shipping supply. With no near-term return to Red Sea transits expected, vessels continue to divert via the Cape of Good Hope, sustaining elevated TEU-mile demand. Asia-North America volumes declined 2.9% for full-year 2025 and fell a further 7.4% in January 2026, reflecting cumulative tariff headwinds on that trade lane.

## Supply, Fleet, and Trade Dynamics

New vessel deliveries maintained a high pace, with c.2.9 million TEU entering the market in 2024 and c.2.1 million TEU in 2025. The orderbook now stands at over 12 million TEU, equivalent to 36.6% of the existing fleet. Net fleet growth reached 9.7% in 2024 and 8.6% in 2025 and is forecast to average c.9.9% annually over 2026–2029. Average sailing speeds declined 2.1% in 2025 as carriers managed capacity to support rates.

## Market Outlook

TEU-mile demand growth is projected at 1.4% in 2026, reflecting weaker volumes on Asia-Europe and Asia-North America lanes, before recovering to an average of approximately 4% annually between 2027 and 2029. Vessel supply growth is expected to outpace demand throughout the forecast period, with average freight rates forecast to decline c.25.2% across all vessel sizes. In 2026, tight vessel availability and continued Red Sea diversion are expected to keep rates broadly stable before downward pressure intensifies as supply growth increases.



# LPG

## Market Conditions

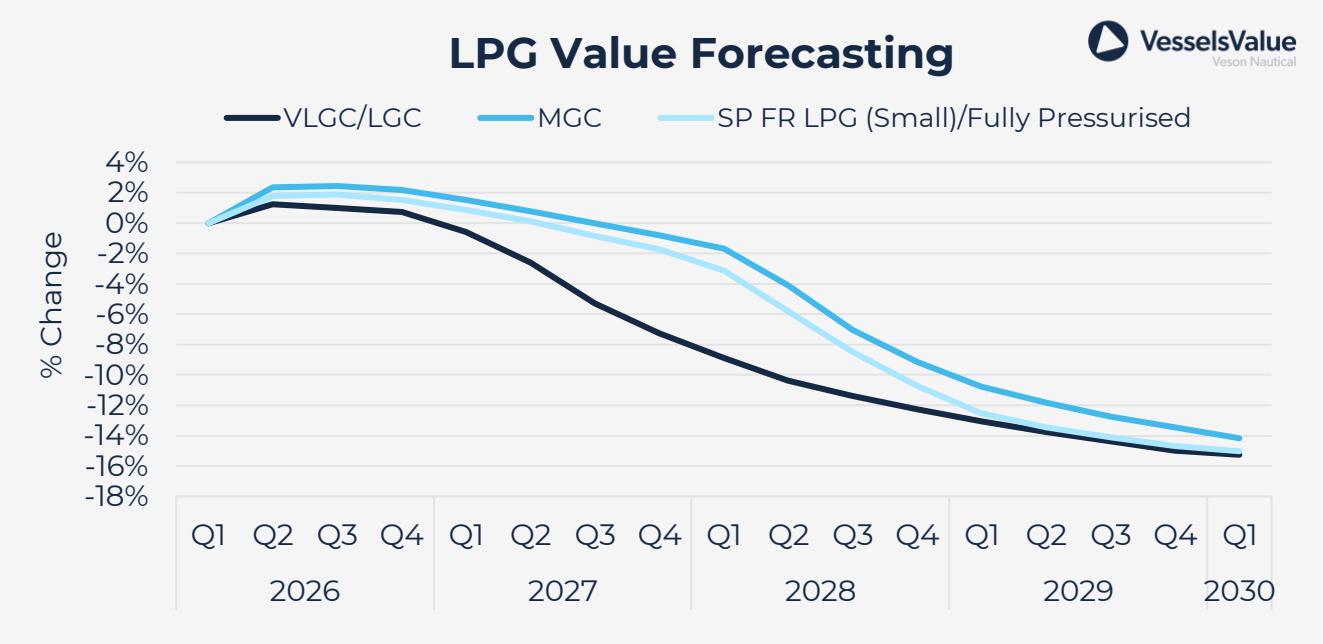
The LPG market experienced a volatile Q1 2026, dominated by the conflict in the Middle East. The Hormuz closure removed c.30% of global LPG supply from the market, creating an immediate supply-demand imbalance. VLGC earnings averaged approximately USD 75,000/day in Q1 2026, up 56% compared to Q1 2025. Ammonia trade has also been disrupted, with the Middle East accounting for approximately 25% of global exports.

## Supply, Fleet, and Trade Dynamics

US LPG exports are forecast to grow 7.1% in 2026, driven by stronger international demand as buyers turn to the US to replace disrupted Middle East supply. Middle East exports are forecast to decline 7.9% in 2026, subject to revision based on the duration of the conflict. Net fleet growth for VLGCs is expected to average 7.9% annually over the forecast period. The medium-sized segment faces more acute pressure, with an orderbook-to-fleet ratio of c.50% and projected net fleet growth of 11% per year through 2029.

## Market Outlook

VLGC earnings are expected to remain firm in 2026, supported by growing US export volumes to Asia and longer sailing distances. This is based on the assumption of a relatively near-term resolution to the Hormuz closure. From 2027, market balance is expected to come under increasing pressure as significant vessel deliveries enter the fleet. Chinese propane imports are expected to recover and grow in 2026 as tariffs are put on hold and buyers pivot toward US supply, improving CBM-mile demand. Seaborne ammonia trade growth is likely to be limited near-term given disruption to Middle East supply and delays across the project pipeline.



# Conclusion

As markets move through Q2 2026, the Middle East conflict has become the defining variable across every shipping sector. Longer trade routes, disrupted energy supply, and altered commodity flows are reshaping utilization and earnings in real time.

The ceasefire is under significant strain, and the risk of a full breakdown in negotiations has added a new layer of uncertainty across all segments. Crude Tankers remain the most directly exposed, though war-risk premiums and rerouting costs continue to weigh on conditions across the broader market.

Until a more stable agreement is in place, a full market reset is unlikely. Across all sectors, the ability to track how developments in the region affect earnings, values, and trade flows will remain critical for commercial and strategic decision-making.

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